

Executive Summary: Data-Driven Customer Retention Strategy

Project Overview: The brand is currently operating on a reactive, promotion-heavy sales model with limited visibility into customer behaviour. With a dataset of approximately 3,900 customers, this analysis transforms raw transactional data into actionable intelligence, enabling a shift toward a sustainable, loyalty-first retention strategy.

Key Findings :

- **Segmented Loyalty:** Through rigorous segmentation, we identified that a significant portion of revenue is driven by "Promo Hunters," while a core segment of "High-Tenure" customers exhibits strong organic demand.
- **Geographic Opportunity:** Geographic analysis reveals specific regions with high organic traction that have been under-leveraged in marketing efforts, providing a clear opportunity for optimized budget allocation.
- **Category Dynamics:** Analysis of category preferences among high-tenure customers identifies "Clothing" and "Footwear" as primary anchors for long-term retention.

Strategic Recommendations

- **Promo Sunset Plan:** Systematically reduce discount dependency by replacing broad-spectrum promotions with targeted, value-based rewards for the "High-Tenure" and "Mid-Tenure" segments.
- **Budget Reallocation:** Shift advertising spend from discount-heavy segments to regions identified as having high organic potential to maximize Return on Ad Spend (ROAS).
- **Ideal Customer Profile (ICP) Targeting:** Future acquisition campaigns should be optimized to target demographic profiles mirroring the "High-Tenure" segment—prioritizing users who demonstrate higher satisfaction and lower discount sensitivity.

Conclusion

By transitioning from reactive promotions to a deliberate retention strategy, the brand can successfully protect profit margins, build a sustainable loyal customer base, and move away from discount-dependent revenue models.